ACCOUNTING

Unit-II: Final Accounts

Comprehensive Study Notes

UNIT-II: FINAL ACCOUNTS

1.1 What are Final Accounts?

Final Accounts are the set of financial statements prepared at the end of an accounting period to determine the profit or loss and the financial position of a business.

Definition: "Final accounts are the statements prepared at the end of the accounting period to ascertain the profit or loss and the financial position of the business."

1.2 Components of Final Accounts

1. **Manufacturing Account** — Cost of Production
2. **Trading Account** — Gross Profit/Loss
3. **Profit & Loss Account** — Net Profit/Loss
4. **Balance Sheet** — Financial Position

2. Manufacturing Account

2.1 What is Manufacturing Account?

Manufacturing Account is prepared to calculate the cost of goods manufactured during a period. It is used by manufacturing companies.

Definition: "Manufacturing account is the account which is prepared to ascertain the cost of goods manufactured during the accounting period."

2.2 Components of Manufacturing Account

Debit Side	Credit Side
Raw Material Consumed	Sale of Scrap
Opening Stock of Raw Material	Closing Stock of Raw Material
Purchases of Raw Material	Opening Work in Progress (WIP)
Direct Wages	Closing Work in Progress (WIP)
Factory Expenses	Cost of Production (Gross Profit c/d)
Factory Rent	
Power and Fuel	
Depreciation on Plant	
Opening Work in Progress (WIP)	

2.3 Solved Example: Manufacturing Account

Example: Prepare Manufacturing Account from the following:

Particulars	Amount (₹)
Opening Stock of Raw Material	20,000

Purchases of Raw Material	80,000
Direct Wages	30,000
Factory Rent	10,000
Power	5,000
Depreciation on Plant	8,000
Closing Stock of Raw Material	15,000
Opening WIP	12,000
Closing WIP	18,000

```
Manufacturing Account for the year ended ...
Dr.                                                        Cr.
Particulars                   Amount    Particulars                 Amount
To Opening Stock (RM)         20,000    By Sale of Scrap            --
To Purchases (RM)             80,000    By Closing Stock (RM)      15,000
To Direct Wages               30,000    By Closing WIP             18,000
To Factory Rent               10,000    By Cost of Production (c/d)  1,32,000
To Power                       5,000
To Depreciation on Plant       8,000
To Opening WIP                12,000
                              -------                           -------
                             1,65,000                          1,65,000
                              =======                           =======
```

2.4 Practice Questions

Q.No.	Question	Answer (Cost of Production)
Q1	Opening Raw Material: ₹25,000; Purchases: ₹95,000; Closing Raw Material: ₹20,000; Wages: ₹40,000; Factory Expenses: ₹15,000	₹1,55,000
Q2	Opening WIP: ₹10,000; Closing WIP: ₹15,000; All other costs: ₹1,00,000	₹95,000

3. Trading Account

3.1 What is Trading Account?

Trading Account is prepared to determine the gross profit or gross loss of a business by comparing sales with the cost of goods sold.

Definition: "Trading account is the account which shows the gross profit or gross loss of a business for a particular period."

3.2 Components of Trading Account

Debit Side	Credit Side
Opening Stock	**Sales**
Purchases	Less: Sales Returns
Less: Purchase Returns	**Closing Stock**
Direct Expenses	**Gross Profit** (Balancing Figure)
Carriage Inward	
Wages	
Factory Expenses	
Manufacturing Expenses	

3.3 Formula for Gross Profit

Gross Profit = Sales - Cost of Goods Sold

Cost of Goods Sold = Opening Stock + Purchases + Direct Expenses - Closing Stock

3.4 Solved Example: Trading Account

Example: Prepare Trading Account from the following:

Particulars	Amount (₹)
Opening Stock	30,000
Purchases	1,20,000
Sales	2,00,000
Closing Stock	40,000
Carriage Inward	5,000
Wages	15,000
Purchase Returns	10,000
Sales Returns	8,000

```
Trading Account for the year ended ...
Dr.                                                        Cr.
Particulars                     Amount    Particulars                     Amount
To Opening Stock                30,000    By Sales             2,00,000
To Purchases         1,20,000             Less: Sales Returns    (8,000)   1,92,0
Less: Purchase Returns (10,000) 1,10,000 By Closing Stock                 40,000
To Carriage Inward               5,000
To Wages                        15,000    By Gross Profit (b/d)           68,000
                                -------                               -------
                               2,00,000                              2,00,000
                                =======                               =======
```

3.5 Practice Questions

Q.No.	Question	Gross Profit
Q1	Opening Stock ₹40,000; Purchases ₹1,50,000; Sales ₹2,50,000; Closing Stock ₹50,000; Wages ₹20,000; Carriage ₹10,000	₹80,000

Q2	Opening Stock ₹25,000; Purchases ₹95,000; Sales ₹1,80,000; Closing Stock ₹35,000; Direct Expenses ₹15,000	₹80,000

4. Profit and Loss Account

4.1 What is Profit and Loss Account?

Profit and Loss Account is prepared to determine the net profit or net loss of a business by matching all indirect expenses and incomes with the gross profit.

Definition: "Profit and Loss Account is the account which shows the net profit or net loss of a business for a particular period."

4.2 Components of Profit and Loss Account

Debit Side (Indirect Expenses)	Credit Side (Indirect Incomes)
Administrative Expenses	**Operating Incomes**
Salaries	Commission Received
Office Rent	Discount Received
Insurance	Interest Received
Office Expenses	Rent Received
Audit Fees	**Non-Operating Incomes**
Legal Charges	Profit on Sale of Asset
Selling and Distribution Expenses	
Advertisement	
Salesmen Salaries	
Commission Paid	
Financial Expenses	
Interest Paid	
Discount Allowed	

Other Expenses	
Depreciation	
Bad Debts	
Repair and Maintenance	
Net Profit (Balancing Figure)	

4.3 Formula for Net Profit

Net Profit = Gross Profit + Other Incomes - Indirect Expenses

4.4 Solved Example: Profit and Loss Account

Particulars	Amount (₹)
Gross Profit	98,000
Salaries	20,000
Rent	12,000
Insurance	5,000
Advertisement	8,000
Depreciation	6,000
Commission Received	4,000
Interest Received	3,000
Bad Debts	2,000
Discount Received	1,000

```
Profit & Loss Account for the year ended ...
Dr.                                                        Cr.
Particulars                      Amount     Particulars                      Amount
```

```
To Salaries                20,000    By Gross Profit (b/d)       98,000
To Rent                    12,000    By Commission Received       4,000
To Insurance                5,000    By Interest Received         3,000
To Advertisement            8,000    By Discount Received         1,000
To Depreciation             6,000
To Bad Debts                2,000
To Net Profit (c/d)        53,000
                          -------                              -------
                         1,06,000                             1,06,000
                          =======                              =======
```

4.5 Practice Questions

Q.No.	Question	Net Profit
Q1	Gross Profit: ₹1,20,000; Salaries: ₹30,000; Rent: ₹15,000; Insurance: ₹5,000; Commission Received: ₹10,000; Interest Paid: ₹8,000	₹72,000
Q2	Gross Profit: ₹85,000; Office Expenses: ₹20,000; Selling Expenses: ₹15,000; Interest Received: ₹5,000	₹55,000

5. Balance Sheet

5.1 What is Balance Sheet?

Balance Sheet is a statement showing the financial position of a business at a given date. It lists all assets and liabilities and shows the capital.

Definition: "Balance Sheet is a statement of the assets and liabilities of a business prepared to ascertain its financial position at a particular point of time."

5.2 Components of Balance Sheet

Liabilities Side	Assets Side
CAPITAL	**FIXED ASSETS**
Opening Capital	Land and Building
Add: Net Profit	Plant and Machinery
Less: Drawings	Furniture
NON-CURRENT LIABILITIES	Vehicles
Long-term Loans	**CURRENT ASSETS**
CURRENT LIABILITIES	Cash in Hand
Creditors	Cash at Bank
Bills Payable	Debtors
Bank Overdraft	Bills Receivable
Outstanding Expenses	Closing Stock
	Prepaid Expenses

5.3 Accounting Equation

Assets = Liabilities + Capital

5.4 Classification of Assets

Fixed Assets (Long-term)	Current Assets (Short-term)
Tangible Assets	Cash in Hand
Intangible Assets (Goodwill, Patents)	Cash at Bank
	Debtors
	Bills Receivable
	Closing Stock
	Prepaid Expenses

5.5 Solved Example: Balance Sheet

Particulars	Amount (₹)
Capital	1,00,000
Net Profit	53,000
Drawings	10,000
Creditors	30,000
Long-term Loan	20,000
Fixed Assets	80,000
Stock	40,000
Debtors	77,000
Cash in Hand	16,000
Bank Overdraft	10,000

```
Balance Sheet as on ...
Liabilities                   Amount    Assets                          Amount
Capital             1,00,000            Fixed Assets                    80,000
Add: Net Profit       53,000            Stock                           40,000
Less: Drawings      (10,000)  1,43,000  Debtors                         77,000
Creditors                      30,000  Cash in Hand                    16,000
Long-term Loan                 20,000
Bank Overdraft                 10,000
                              -------                                  -------
                              2,03,000                                  2,13,0
                              =======                                  =======
```

5.6 Practice Questions

1. Prepare Balance Sheet from the following: Capital ₹2,00,000; Net Profit ₹60,000; Drawings ₹15,000; Creditors ₹25,000; Fixed Assets ₹1,50,000; Stock ₹50,000; Debtors ₹60,000; Cash ₹30,000
2. Prepare Balance Sheet from Trial Balance: Capital ₹1,50,000; Fixed Assets ₹1,00,000; Stock ₹30,000; Debtors ₹50,000; Creditors ₹20,000; Net Loss ₹10,000

6. Complete Example: Final Accounts

6.1 Trading, P&L, and Balance Sheet

Prepare Trading Account, Profit & Loss Account, and Balance Sheet from the following Trial Balance:

Particulars	Debit (₹)	Credit (₹)
Opening Stock	30,000	
Purchases	1,20,000	
Sales		2,00,000
Salaries	20,000	
Rent	12,000	
Insurance	5,000	
Advertisement	8,000	
Depreciation	6,000	
Commission Received		4,000
Interest Received		3,000
Bad Debts	2,000	
Discount Received		1,000
Capital		1,00,000
Drawings	10,000	
Fixed Assets	80,000	
Debtors	77,000	

Creditors		30,000
Cash	16,000	
Bank Overdraft		10,000
Total	**3,86,000**	**3,86,000**

Additional Information: Closing Stock: ₹50,000

```
Trading Account for the year ended ...
Dr.                                                        Cr.
Particulars                    Amount    Particulars                 Amount
To Opening Stock               30,000    By Sales            2,00,000
To Purchases                 1,20,000    By Closing Stock             50,000
To Gross Profit (b/d)        1,00,000
                               -------                             -------
                              2,50,000                            2,50,000
                               =======                             =======

Profit & Loss Account for the year ended ...
Dr.                                                        Cr.
Particulars                    Amount    Particulars                 Amount
To Salaries                    20,000    By Gross Profit (b/d)     1,00,000
To Rent                        12,000    By Commission Received       4,000
To Insurance                    5,000    By Interest Received         3,000
To Advertisement                8,000    By Discount Received         1,000
To Depreciation                 6,000
To Bad Debts                    2,000
To Net Profit (c/d)            55,000
                               -------                             -------
                              1,08,000                            1,08,000
                               =======                             =======

Balance Sheet as on ...
Liabilities                    Amount    Assets                        Amount
Capital             1,00,000             Fixed Assets                  80,000
Add: Net Profit       55,000             Closing Stock                 50,000
Less: Drawings      (10,000)   1,45,000  Debtors                       77,000
Creditors                       30,000  Cash                          16,000
Bank Overdraft                  10,000
                               -------                               -------
```

```
                       1,85,000                                 2,23,0
                       =======                                 =======
```

7. Adjustments in Final Accounts

7.1 Common Adjustments

Adjustment	Treatment in Final Accounts
Closing Stock	Credited to Trading A/c, shown as Current Asset in Balance Sheet
Outstanding Expenses	Add to respective expense in P&L, shown as Current Liability in Balance Sheet
Prepaid Expenses	Deduct from respective expense in P&L, shown as Current Asset in Balance Sheet
Accrued Income	Add to respective income in P&L, shown as Current Asset in Balance Sheet
Income Received in Advance	Deduct from respective income in P&L, shown as Current Liability in Balance Sheet
Depreciation	Charged to P&L, deducted from asset in Balance Sheet
Bad Debts	Charged to P&L, deducted from Debtors in Balance Sheet
Provision for Doubtful Debts	Charged to P&L, deducted from Debtors in Balance Sheet
Drawings	Deducted from Capital in Balance Sheet
Interest on Capital	Charged to P&L, added to Capital in Balance Sheet
Interest on Drawings	Credited to P&L, deducted from Capital in Balance Sheet

Questions

Short Answer Questions (2-5 Marks)

1. What are final accounts?
2. What is a manufacturing account?
3. What is a trading account?
4. What is a profit and loss account?
5. What is a balance sheet?
6. What is the difference between gross profit and net profit?
7. What are direct expenses?
8. What are indirect expenses?
9. What is the accounting equation?
10. What are current assets?

Long Answer Questions (10 Marks)

1. Explain the format and components of a trading account.
2. Explain the format and components of a profit and loss account.
3. Explain the format and components of a balance sheet.
4. Explain the difference between trading account and profit and loss account.
5. Prepare final accounts from a given trial balance.

Practice Questions

Q.No.	Question
Q1	Prepare Manufacturing Account from the given data
Q2	Prepare Trading Account and calculate Gross Profit
Q3	Prepare Profit and Loss Account and calculate Net Profit
Q4	Prepare Balance Sheet showing financial position
Q5	Prepare Final Accounts from Trial Balance

Objective Questions (1 Mark)

1. Gross profit is calculated in: (a) Trading Account (b) Profit & Loss Account (c) Balance Sheet (d) Manufacturing Account
2. Net profit is calculated in: (a) Trading Account (b) Profit & Loss Account (c) Balance Sheet (d) Manufacturing Account
3. Balance sheet shows: (a) Profit/Loss (b) Financial Position (c) Both (d) None
4. Assets = Liabilities + Capital is: (a) Accounting Equation (b) Balance Sheet (c) Trial Balance (d) None
5. Closing stock is shown in: (a) Trading Account (b) Balance Sheet (c) Both (d) Profit & Loss Account

QUICK REVISION

Key Formulas

Gross Profit = Sales - Cost of Goods Sold

Cost of Goods Sold = Opening Stock + Purchases + Direct Expenses - Closing Stock

Net Profit = Gross Profit + Other Incomes - Indirect Expenses

Capital = Opening Capital + Net Profit - Drawings

Assets = Liabilities + Capital

Final Accounts Structure

Statement	Purpose
Manufacturing Account	Cost of Production
Trading Account	Gross Profit / Loss
Profit & Loss Account	Net Profit / Loss
Balance Sheet	Financial Position

End of Unit-II Notes